

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Lead with a hypothesis and a structure before asking for data, and size levers against the actual objective (net margin, not the COGS ratio). You opened with an eight-item data list, declined to prioritize when asked, and kept requesting data after being told it wasn't available. Instead, state the objective and your hypothesis (COGS inflation not passed through to price), then request only the one number that tests it. When you size a lever, ask whether the metric you're moving is the one the CEO cares about. For example, a 10% price increase at flat volume lifts net margin from 6% to about 14.5%, not 5 points.

Rubric Scores

Problem Structuring

adequate

What needs work

Once prompted, the candidate laid out a relevant profit tree that split revenue into price and volume and named the main cost lines. However, the candidate opened with an eight-item data request instead of a structure, needed the interviewer to ask for a framework, and never restated the CEO's objective.

“Before I frame it further, could I get some data?”

“That would give me a pretty complete picture to start from.”

“At a high level I'd split it into revenue and costs, then break costs into fixed and variable, and look at which line grew faster than revenue over the two years.”

“On the revenue side I'd look at price and volume separately, and on the cost side COGS, labor, rent, and overhead.”

The opening showed the right instinct that the cost side was moving. But when asked directly which branch to prioritize, the candidate declined to commit, even though revenue up with margin down clearly points to costs.

“On prioritization, I'd want a bit more before I commit to a branch.”

“so something on the cost side is moving”

You layered two cuts on costs (fixed/variable and COGS/labor/rent/overhead), so the buckets overlap. You then called the framework MECE only at the top level.

“I think it's roughly MECE, yes — revenue and costs don't overlap and together they cover profit.”

Missed opportunities

Interviewer turn 4 asked: “which branch would you prioritize first, given that revenue is up and margin is down?”

A great answer: “Costs, specifically COGS. Revenue grew 15% with a flat store count and unchanged prices, so revenue isn't the problem. A drop from 24% to 6% margin means some cost line grew much faster than sales. My hypothesis is input-cost inflation not passed through to price. I'd test that first by checking COGS as a percent of revenue in both years, then labor and overhead.”

Turn 1, the opening response to the case prompt.

A great answer: “The CEO wants to know why net margin fell 18 points despite 15% revenue growth, and how to reverse it. I'll look at three areas: revenue quality (price vs. volume vs. mix), cost lines (COGS, labor, occupancy/overhead), and external context (are competitors seeing the same squeeze, and do we have pricing power). I'd start with costs, specifically COGS, because revenue is growing and margin is falling.”

Quantitative & Analytical Rigor

adequate

What went well

The bean test converted correctly from share of COGS to points of revenue (10.5% to 14.7%, about 4.2 points), leaving about 12 points unexplained.

“at 42% COGS, beans were 25% of that, so about 10.5% of revenue. Up 40% puts them around 14.7%, so roughly 4 points of the 16-point swing.”

The blended inflation check ($42\% \times 1.38$ H 58%) neatly confirmed that input inflation explains the entire COGS swing.

“ $42\% \times 1.38$ H 58%”

What needs work

The arithmetic is right, but you sized the price lever with the wrong quantity: the COGS ratio instead of net margin. A 10% price rise with flat volume adds \$48M of pure profit, because COGS, labor and overhead dollars are all unchanged. Profit goes from \$28.8M to about \$76.8M, so net margin moves from 6% to about 14.5%, an 8.5-point gain, not 5.

"pulling COGS to roughly 53% and recovering about five margin points."

You set up and narrated the price-gap equation explicitly ($\$278\text{M} / 0.42 \text{ H } \663M , about 1.38x) and sanity-checked it against volume loss. However, it targeted a 42% COGS ratio rather than net margin. Restoring a 24% net margin at flat volume needs revenue of about \$594M ($451.2 / 0.76$), roughly a 24% price increase, not 38%, so the framing overstated the gap and drove the conclusion that price alone can't close it.

"So it's really a ceiling that tells you price alone can't fully close the gap"

"For COGS to be 42% of revenue, revenue needs to be \$278M divided by 0.42, which is about \$663M."

"The obvious problem is that assumes zero volume loss, which won't hold at that magnitude"

There was a minor label slip: total revenue was described as revenue per store. The per-store result (\$2.1M to \$2.4M) was still correct.

"revenue per store went from about \$417M to \$480M"

Missed opportunities

Turn 13, after deriving the 38% figure to return COGS to 42% of revenue.

A great answer: "But the CEO cares about net margin, not the COGS ratio. Labor (\$106M) and overhead (\$67M) dollars don't rise with price either. Total costs are about \$451M, so to hit a 24% margin I need revenue of $\$451\text{M} / 0.76 \text{ H } \594M . That's about a 24% price increase at flat volume. Price can close most of the gap; the real question is how much volume we lose."

Data & Exhibit Interpretation

strong

What went well

You compared all three cost lines and isolated COGS as the driver of 16 of the 18 points.

"COGS clearly — it's up 16 points of revenue while labor is flat and overhead only moved two."

You didn't stop at beans: you showed they explain only about 4 points and flagged the remaining 12 inside COGS as the next thing to explain. But your next step was an undifferentiated list of requests rather than one targeted test, which diluted an otherwise sharp read.

"That leaves about 12 points unexplained, so something else inside COGS is moving."

"Those would tell me what the other twelve points are."

"the full COGS breakdown by component for both years, dairy and milk costs, cup and packaging costs, food ingredient costs, waste and spoilage rates"

Once the other-input data arrived, you translated it into a clear implication: broad input inflation with zero pricing response.

"So essentially the entire swing is input inflation passed through with zero pricing response, not one bad commodity."

Missed opportunities

Turn 7, after finding about 12 points unexplained.

A great answer: "My hypothesis is that dairy, cups and food have inflated about as much as beans. If they're up roughly 37–38%, that accounts for the other ~12 points. So the single number I need is the price change on non-bean inputs."

Business Judgment & Insight

strong

What went well

The price recommendation is commercially grounded: commodity inputs hit all competitors, and the cost base is too lean to cut your way back.

"green coffee and dairy are commodity inputs, so every specialty chain is facing the same 40% increase."

"Labor is already lean at 22% and flat, overhead is only 14%, so there isn't enough cost to cut to recover 18 points of margin."

You proactively mitigated volume risk with staging, item targeting and a store pilot.

"I'd also stage it — a 10% increase phased in, concentrated on lower-elasticity items like espresso drinks rather than across the board, and test it in a subset of the 200 stores first to read actual volume response before a national rollout."

You used available evidence (a rising basket at constant prices) to argue for pricing headroom.

"average ticket went from \$6.20 to \$6.80 on more items per visit, not price."

What needs work

Early data requests mixed in low-relevance items for a margin-squeeze case, which signals weak triage of what matters.

"Six, average customer satisfaction scores. Seven, employee turnover rate."

"store square footage, delivery app commission rates, and the number of employees per store"

Missed opportunities

Turn 15, defending the price increase to the CEO.

A great answer: "Every point of price we take at flat volume drops almost entirely to profit: 10% is about \$48M, roughly 8–9 margin points. So we can afford meaningful volume loss and still come out well ahead."

Creativity & Brainstorming

adequate

What went well

You prioritized clearly, naming price as the main lever and overhead as secondary.

"The main lever is price, since it's been frozen for two years while inputs rose nearly 40%."

"I'd also note overhead drifted up two points with flat stores — worth a look, though it's secondary."

What needs work

The ideas came as a flat list with no explicit mini-structure, such as revenue levers vs. cost levers vs. structural protections.

"Beyond price, the other levers I'd look at:"

You produced several distinct, relevant levers, including the less obvious idea of reformulating or re-sizing high-cost items. But breadth on the revenue side was thin: beyond a price increase and mix shift, there were no ideas for growing margin-accretive revenue.

"shifting the mix toward whatever carries the better margin, probably beverages over food."

"renegotiating or hedging supplier contracts so a 40% spike doesn't flow straight through again; reformulating or re-sizing the highest-cost items; cutting waste and spoilage; and shifting the mix toward whatever carries the better margin, probably beverages over food."

Missed opportunities

Turn 11, when asked what else the client could do.

A great answer: "I'll split this into three buckets. Pricing: a selective increase on specialty drinks, plus tiered sizes. Input costs: multi-year supplier contracts across beans, dairy and packaging, recipe and portion engineering, and waste reduction. Mix and structure: push higher-margin items through the menu and loyalty offers. I'd prioritize pricing first because it has the largest and fastest impact."

Synthesis & Recommendation

strong

What went well

The answer was first, specific and committed.

"My recommendation is that Brew & Bean raise menu prices, roughly 10% staged over two to three quarters, paired with supplier renegotiation and waste reduction."

The reasons tie directly to the analysis, and the close includes explicit risks and concrete next steps.

"the entire margin decline is input inflation passed through unpriced."

"Risks: volume loss if customers are more price-sensitive than the ticket data suggests, and further commodity inflation."

"Next steps: pilot the increase in a subset of stores, read volume response, and open supplier renegotiations before the next contract cycle."

What needs work

The sizing in the close understates the impact. At flat volume, a 10% price rise lifts net margin from 6% to about 14.5%, not by 5 points. That makes supplier and spoilage savings look more critical than they are.

"recovering about five margin points. Supplier terms and spoilage have to close the rest."

Missed opportunities

Turn 19, the sizing sentence in the final recommendation.

A great answer: "A 10% price increase at flat volume adds about \$48M of profit, taking net margin from 6% to roughly 14.5%. Supplier contracts and waste reduction then close the rest of the gap toward our historical 24%."

Communication & Delivery

adequate

What needs work

In the analysis and synthesis turns you led with the answer and signposted, but the opening turns were bottom-up data dumps rather than a structure-first narrative.

"Before I frame it further, could I get some data?"

"Those eight plus the earlier list would let me pin down which bucket is driving it."

"COGS clearly — it's up 16 points of revenue while labor is flat and overhead only moved two."

"I'd push back gently. Two things."

Almost every turn ended with a long list of requests, even after the interviewer repeatedly said the data wasn't available. That made the delivery feel repetitive and less hypothesis-led.

| "Could I get churn rates, repeat purchase frequency, brand survey data, and the supplier contract renewal calendar?"

Missed opportunities

Turn 5, after receiving revenue and store count.

A great answer: "My hypothesis is that costs, specifically COGS, are the driver. To test it, the one thing I need is COGS as a percent of revenue in both years."

Pushback, Composure & Case Leadership

adequate

What went well

You held your position under CEO-style challenges with explicit reasoning and adjusted the plan rather than caving.

| "Then I'd say the loyalty is real but it's being bought at 18 points of margin, and that's not sustainable regardless of what competitors do."

| "And I'd reframe the ask — it's not price versus loyalty, it's a smaller price step plus supplier renegotiation plus waste reduction, so no single lever has to carry 18 points."

You proactively proposed a pilot to resolve the uncertainty.

| "test it in a subset of the 200 stores first to read actual volume response before a national rollout."

What needs work

You didn't visibly incorporate the interviewer's cues. You declined to prioritize when asked directly, and after saying you'd work from available data you went back to multi-item data asks.

| "On prioritization, I'd want a bit more before I commit to a branch."

| "Could I get elasticity estimates, competitor price points, a volume forecast at different price steps, and the customer segmentation by price sensitivity?"

Missed opportunities

Turn 13, after the interviewer had already said elasticity and competitor data were unavailable.

A great answer: "Without elasticity data, I'll assume a moderate elasticity of about -0.5 for specialty drinks. A 10% increase would then cost about 5% of volume and still add roughly \$30–35M of profit. I'd validate that assumption with a store pilot."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:24

Okay, so profit is revenue minus costs, and revenue is up while margin is down, so something on the cost side is moving. Before I frame it further, could I get some data?

One, the full P&L for both years, revenue and cost lines. Two, COGS as a percent of revenue in each year. Three, labor costs per store. Four, rent and lease expense. Five, the number of stores in each year and how many were opened in the last two years. Six, average customer satisfaction scores. Seven, employee turnover rate. Eight, the client's market share versus Starbucks and the regional players.

That would give me a pretty complete picture to start from.

Interviewer · 1:26

Hold that list for a moment. Before I release anything, I'd like to see how you're structuring the problem. Take a minute if you need it, then walk me through your framework.

Candidate · 2:51

Sure. At a high level I'd split it into revenue and costs, then break costs into fixed and variable, and look at which line grew faster than revenue over the two years. On the revenue side I'd look at price and volume separately, and on the cost side COGS, labor, rent, and overhead.

To actually populate that, could I get: revenue split by store versus new stores, average ticket size, transaction volume per store per day, coffee bean input costs, wage rates by market, utilities expense, marketing spend, and the mix between drink sales and food sales?

Those eight plus the earlier list would let me pin down which bucket is driving it.

Interviewer · 2:53

On what you asked for: Total revenue is \$480M a year. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. On the data you asked for — I'll come to that shortly. Is that framework MECE, and which branch would you prioritize first, given that revenue is up and margin is down?

Candidate · 4:21

I think it's roughly MECE, yes — revenue and costs don't overlap and together they cover profit.

On prioritization, I'd want a bit more before I commit to a branch. Since the footprint is flat at 200 stores, revenue per store went from about \$417M to \$480M, so roughly \$2.1M to \$2.4M per store.

Could I get: COGS in dollars for each year, labor dollars for each year, rent dollars for each year, SG&A, D&A, interest expense, menu price history over the two years, and the split of the largest cost line into its components? And also store square footage, delivery app commission rates, and the number of employees per store.

That set would let me isolate the branch.

Interviewer · 4:26

COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Average revenue per store is \$2.4M a year. Raw coffee bean costs are up 40% over the past two years. Coffee beans were 25% of COGS two years ago. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Menu prices have not changed in two years. I don't have SG&A, D&A, interest, square footage, delivery commissions, or headcount per store. Which line stands out to you, and what would you test next?

Candidate · 5:57

COGS clearly — it's up 16 points of revenue while labor is flat and overhead only moved two.

Quick check on beans: at 42% COGS, beans were 25% of that, so about 10.5% of revenue. Up 40% puts them around 14.7%, so roughly 4 points of the 16-point swing. That leaves about 12 points unexplained, so something else inside COGS is moving.

So could I get: the full COGS breakdown by component for both years, dairy and milk costs, cup and packaging costs, food ingredient costs, waste and spoilage rates, supplier contract terms and whether they're hedged, the items-per-visit mix shift by category, gross margin by product line, and the pastry versus beverage cost structure?

Those would tell me what the other twelve points are.

Interviewer · 6:00

Understood. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

[Exhibit shown: Brew & Bean Cost Structure Over Time]

Candidate · 7:31

That tracks. If all inputs are up roughly 37.5–40% and menu prices haven't moved at all, COGS as a share of revenue should rise by about that factor: $42\% \times 1.38 = 58\%$. So essentially the entire swing is input inflation passed through with zero pricing response, not one bad commodity. The transaction size growth is items per visit, not price, so it brings costs along with it.

Before I go further, could I get: gross margin by product category, the food versus beverage revenue split for both years, competitor menu price changes over the same period, price elasticity data for the customer base, any supplier contract or hedging terms, customer traffic counts per store, loyalty program penetration, and the regional split of input cost increases?

Interviewer · 7:33

I don't have those cuts — gross margin by category, food versus beverage split, competitor pricing, elasticity, hedging terms, traffic counts, loyalty data, or the regional split. Beyond what we've discussed, what else could the client do to reverse the decline?

Candidate · 9:04

Fair enough — I'll work from what we have.

The main lever is price, since it's been frozen for two years while inputs rose nearly 40%. Roughly, to get COGS back from 58% to 42% of revenue you'd need prices up about 38%, which is almost certainly too much to take at once. But even a 10% increase moves revenue to about \$528M against the same dollar COGS of \$278M, so COGS falls to roughly 53% of revenue — call it five points of margin back, before any volume loss.

Beyond price, the other levers I'd look at: renegotiating or hedging supplier contracts so a 40% spike doesn't flow straight through again; reformulating or re-sizing the highest-cost items; cutting waste and spoilage; and shifting the mix toward whatever carries the better margin, probably beverages over food.

I'd also note overhead drifted up two points with flat stores — worth a look, though it's secondary.

I'd want elasticity data before setting the actual price step.

Interviewer · 9:05

Walk me through the roughly 38% price increase you'd need to get COGS back to 42% of revenue.

Candidate · 10:36

Sure. COGS today is 58% of \$480M, so about \$278M in dollars. I'm holding that dollar figure fixed — assuming volume and input costs don't change, just price.

For COGS to be 42% of revenue, revenue needs to be \$278M divided by 0.42, which is about \$663M.

\$663M over \$480M is about 1.38, so a 38% price increase.

The obvious problem is that assumes zero volume loss, which won't hold at that magnitude — you'd lose customers well before 38%. So it's really a ceiling that tells you price alone can't fully close the gap; you need supplier costs and waste coming down too.

Could I get elasticity estimates, competitor price points, a volume forecast at different price steps, and the customer segmentation by price sensitivity? That would let me size a realistic increase.

Interviewer · 10:38

I don't have elasticity, competitor price points, volume forecasts, or segmentation. Your recommendation leans heavily on price, so suppose the CEO says raising prices will drive customers to competitors and wants you to defend that choice. How do you respond?

Candidate · 12:08

I'd push back gently. Two things.

First, this isn't a competitive disadvantage — green coffee and dairy are commodity inputs, so every specialty chain is facing the same 40% increase. If competitors have held prices too, they're bleeding margin the same way and will have to move. Brew & Bean is the outlier only in that it hasn't moved yet.

Second, the alternative is worse. Labor is already lean at 22% and flat, overhead is only 14%, so there isn't enough cost to cut to recover 18 points of margin. At current prices the business earns 6% and falls further if inputs keep rising.

I'd also stage it — a 10% increase phased in, concentrated on lower-elasticity items like espresso drinks rather than across the board, and test it in a subset of the 200 stores first to read actual volume response before a national rollout.

Could I get same-store traffic by week, a test-store list, and competitor price moves to design that pilot?

Interviewer · 12:11

I don't have weekly traffic, a test-store list, or competitor price moves. Your argument assumes competitors face the same input costs and will follow with price. What if the CEO tells you they've actually held prices, and Brew & Bean's customers are loyal precisely because of that?

Candidate · 13:41

Then I'd say the loyalty is real but it's being bought at 18 points of margin, and that's not sustainable regardless of what competitors do. If they've held prices while facing the same 40% input spike, they're absorbing it too — either they're subsidizing from somewhere else, or they'll move within a few quarters. Being the last to raise isn't a durable position.

I'd also note that customers have already shown they're not purely price-driven: average ticket went from \$6.20 to \$6.80 on more items per visit, not price. That's a customer willing to spend more in a sitting, which suggests some headroom.

And I'd reframe the ask — it's not price versus loyalty, it's a smaller price step plus supplier renegotiation plus waste reduction, so no single lever has to carry 18 points.

Could I get churn rates, repeat purchase frequency, brand survey data, and the supplier contract renewal calendar? That would let me test the loyalty claim directly.

Interviewer · 13:45

I don't have churn rates, repeat frequency, brand surveys, or the contract calendar. Given everything we've discussed, what is your final recommendation to the CEO?

Candidate · 15:15

My recommendation is that Brew & Bean raise menu prices, roughly 10% staged over two to three quarters, paired with supplier renegotiation and waste reduction.

The reason: the entire margin decline is input inflation passed through unpriced. COGS went from 42% to 58% of revenue while labor held at 22% and overhead moved only two points. Beans are up 40%, dairy, packaging and food up 37.5%, and menu prices haven't moved in two years. Revenue grew 15% on volume and basket size, not price, so growth actually added cost.

Sizing it: a 10% increase takes revenue to about \$528M against \$278M of COGS, pulling COGS to roughly 53% and recovering about five margin points. Supplier terms and spoilage have to close the rest.

Risks: volume loss if customers are more price-sensitive than the ticket data suggests, and further commodity inflation.

Next steps: pilot the increase in a subset of stores, read volume response, and open supplier renegotiations before the next contract cycle.

Interviewer · 15:17

That's time. Thanks for working through it — your written report will follow.